



MEDIA STATEMENT

18 March 2026

For immediate release

SEDFA statement on fraud allegations and arrest of former employee

SEDFA confirms that a former Business Advisor from its Mopani Branch was arrested on 17 March 2026 by the Directorate for Priority Crime Investigation (Hawks). The arrest follows an investigation which was a collaborative effort between SEDFA and DPCI since April 2025. This is an outcome of our concerted effort to enhance ethical culture and maturity.

The allegations relate to fraudulent funding applications, misrepresentation of training documentation, and possible money-laundering activity. The Hawks executed a search and seizure operation at the Mopani office in April 2025.

The employee in question resigned from SEDFA in December 2025, and the matter is now fully in the hands of law enforcement authorities.

SEDFA maintains a zero-tolerance approach to any form of fraud, corruption, or unethical conduct. Accordingly, the Agency has been fully cooperating with law enforcement authorities in their investigation and will continue to support all efforts to ensure accountability. The Agency remains committed to transparency, accountability, and the protection of public resources.

SEDFA assures its stakeholders and the public that robust systems and controls are in place to safeguard the integrity of its processes. The Agency continues to deliver on its mandate to support small enterprises and drive inclusive economic growth across South Africa.

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ISSUED BY THE SMALL ENTERPRISE DEVELOPMENT AND FINANCE AGENCY (SEDFA)

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